

to spend on health insurance, look into catastrophic coverage. This kind of policy charges low monthly premiums in exchange for very high deductibles (often \$2,000 or more) and fairly high out-of-pocket limits. While this kind of coverage won't pay for routine checkups and sick visits, it will protect you from financial ruin if you develop a major illness or get into a serious accident. And that's the main thing you need to insure yourself against anyway. If a high-deductible plan is your only option, be sure to open a Health Savings Account at your bank or credit union so you can save up for your medical bills in the most tax-advantaged way.

↓ CAR INSURANCE

Auto insurance covers harm done to you, your car, other people, and other people's property. The total amount of coverage you need depends on the amount of health insurance you have, the condition of your car, the value of the assets you must protect in case you're held responsible for an accident, and the rules in your state.

Many auto insurers have been raising their rates, sometimes by a large amount, in recent years. This coverage is especially expensive for people in their twenties, because statistically they have more accidents.

Three Basic Types of Auto Coverage

Car insurance consists of three separate kinds of protection: auto liability coverage, medical payments coverage, and collision and comprehensive coverage. Here's a rundown of each:

- **Auto liability coverage.** If you cause an accident with your car and injure someone or damage something, auto liability insurance will pay your legal expenses as well as the medical and repair expenses for whoever got hurt. Of the three major components of auto insurance, auto liability—which is technically known as **bodily injury liability** and **property**